

TERMS OF REFERENCE

Fiscal Incentives for Private Sector R&D Investment in Kenya

November 2025

Kenya's innovation ecosystem faces critical underinvestment in R&D, particularly from the private sector. Despite existing tax incentives for foreign investment, there are no targeted fiscal schemes to promote domestic R&D. KeNIA, with support from FCDO, seeks to address this gap by generating evidence to inform policy reforms.

1. BACKGROUND

1.1 About the Evidence Fund

The Foreign, Commonwealth & Development Office (FCDO) wants accessible high-quality research, evaluation and evidence products which target policy, country-specific and regional priorities and are available for use by FCDO and the international development sector. FCDO's Research and Evidence Directorate (RED) has as its mission to develop and deliver new technologies and innovations that can help solve development challenges, test high potential interventions, and support the delivery of His Majesty's Government (HMG) objectives. The Evidence Fund is a co-ordinated effort to support a broad spectrum of FCDO's evidence needs to inform policy and programming decisions. The expected impact of the programme is to help develop evidence-informed policies, programmes and practices which contribute to development outcomes.

In 2022, FCDO appointed PwC and Integrity as Fund Manager (FM) to oversee and manage the Evidence Fund. The Fund Manager's primary responsibility is to manage procurement competitions for research and evaluation projects, conduct due diligence assessments on prospective sub- contracted Research Pool providers, where relevant, and manage research and evaluation contracting.

1.2 Details on the Research Context

The Kenya National Innovation Agency (KeNIA) is a state corporation under the State Department of Science, Research and Innovation, established by the Science, Technology and Innovation Act, 2013¹. It plays a central role in coordinating Kenya's national innovation ecosystem, promoting the commercialisation of research, and advising on innovation policy. KeNIA's mandate includes fostering collaboration between academia, industry, government, and development partners to drive inclusive and sustainable innovation.

¹ Science, Technology and Innovation Act, No. 28 of 2013

Government of Kenya. (2013). Science, Technology and Innovation Act No. 28 of 2013. National Council for Law Reporting. Retrieved from

<https://nacosti.go.ke/nacosti/Docs/Information%20Centre/Science-Technology-and-Innovation-Act-No.-28-of-20131.pdf>

Since its inception in 2020, KeNIA has partnered closely with the UK Foreign, Commonwealth & Development Office (FCDO) to strengthen Kenya's innovation landscape. This collaboration has supported the development of the Kenya 10-Year National Innovation Masterplan², which outlines strategic pillars Human Capital, Access to Finance, Access to Markets, Infrastructure, and Policy to guide the country's transition to a knowledge-based economy.

The UK has also supported institutional capacity building for promoting Research to Commercialisation (R2C), and co-funded initiatives with the British Council, such as the Network of Entrepreneurial Institutional Leaders (NEIL), which aims to enhance entrepreneurial leadership across Kenyan universities. Most recently, the UK and KeNIA have collaborated on the development of Innovation Clusters, designed to decentralise innovation activity and catalyse regional economic growth. These clusters will rely heavily on increased R&D investment, particularly from the private sector, making this research timely and essential.

2. KEY EVIDENCE GAPS

Research and development (R&D) and innovation are universally recognised as engines of economic growth, productivity, and global competitiveness. Countries that invest strategically in R&D are better positioned to develop new technologies, diversify their economies, and create high-value employment opportunities. In Kenya, however, domestic investment in R&D remains critically low estimated at 0.8% of GDP, well below the African Union's 1% target and Kenya's own ambition of 2%. This underinvestment limits the country's ability to generate home-grown innovations and constrains its participation in the global knowledge economy.

A major barrier to increased private sector investment in R&D is the absence of targeted fiscal incentives. While Kenya offers general tax breaks to attract foreign direct investment such as reduced corporate tax rates, investment deductions, and exemptions for firms operating in Export Processing Zones (EPZs) and Special Economic Zones (SEZs) these incentives are not designed to stimulate innovation or long-term R&D activities. As a result, firms often prioritise short-term profitability over strategic innovation, perpetuating a cycle of low investment, limited technological advancement, and slow economic transformation.

Moreover, there are significant evidence gaps regarding what works to stimulate private sector R&D investment in Kenya and across Sub-Saharan Africa. There is limited data on the effectiveness of fiscal instruments such as R&D tax credits, super-deductions, and innovation grants, and little understanding of how these interact with broader factors like regulatory frameworks, access to finance, and local research capacity. Without this evidence, policymakers lack the tools to design effective, context-specific incentives that can unlock private sector participation, foster industry-academia collaboration, and drive sustainable innovation-led growth.

² Kenya 10-Year Innovation Masterplan

Kenya National Innovation Agency (KeNIA). (2023). Kenya 10-Year Innovation Masterplan.

Retrieved from

https://www.innovationagency.go.ke/storage/pub-docs/ken_pub_INNOVATION%20MASTERPLAN%20FINAL5.pdf

This research seeks to address these gaps by generating actionable insights that can inform Kenya's fiscal policy to enhance investment in R&D and implementation of its national innovation masterplan, particularly in support of emerging initiatives such as Innovation Clusters. This assignment will align with the mandate of FCDO's East Africa Research and Innovation Hub (EARIH) to strengthen evidence-based policymaking and evaluation in the region. The focus is on generating actionable insights that will enable the private sector to invest in national R&D in Kenya in a way that can drive inclusive and sustainable economic growth.

3. OBJECTIVES AND SCOPE OF WORK

3.1. Objectives

The overarching objective for this study is to understand what kind of fiscal incentive options could be most appropriate and effective for Kenya to stimulate increased private sector investment in innovation, research and development, and how can these be implemented within the existing policy and economic context?

The study aims to:

1. Analyse the current fiscal regime and policies in Kenya with respect to R&D and innovation investment, including identifying barriers and gaps that limit domestic and foreign private sector investment in research and innovation.
2. Assess and evaluate fiscal incentive mechanisms that are being used regionally and globally (particularly by those countries with high levels of R&D investment and with high positions in the Global Innovation Index (GII) and set out options for how these could be adapted and applied to the Kenyan context.
3. Provide a set of possible evidence-based options for fiscal incentives that could be implemented within Kenya's current policy and economic frameworks.
4. Support KeNIA's advocacy efforts with the National Treasury and the Office of the President to promote a more enabling environment for innovation.

Recipients and beneficiaries

- Primary recipient: Kenya National Innovation Agency (KeNIA)
- Secondary beneficiaries: FCDO, National Treasury, Office of the President, academic institutions, private sector actors, and innovation ecosystem stakeholders.

Deliverables will be used to:

- Guide policy dialogue and fiscal reform.
- Inform programme development and investment strategies.
- Support stakeholder engagement and capacity building.

Limitations and sensitivities

Prospective suppliers should be aware of:

- Limited availability of disaggregated data on private sector R&D investment.
- Potential sensitivities around fiscal policy reform and government budget allocations.
- The need to navigate complex stakeholder dynamics and inter-agency coordination.

Uptake and dissemination

The supplier will be expected to:

- Present findings to KeNIA, FCDO, and relevant stakeholders.
- Support development of a policy brief for dissemination to government and industry audiences.
- Participate in a stakeholder validation workshop to refine recommendations.
- Contribute to FCDO's internal learning and reporting processes.

3.2 Scope

The study will focus on Kenya, with comparative analysis drawn from selected countries (including high performing countries in the GII such as United Kingdom, Switzerland, Sweden, United States, South Korea, Singapore, Finland, Netherlands, Denmark and China) that have successfully implemented fiscal incentives for R&D. The target population includes policymakers, private sector actors (particularly SMEs and innovation-driven enterprises), academic institutions, and innovation ecosystem stakeholders.

The anticipated level of effort will require:

- In-depth policy and fiscal analysis
- Stakeholder engagement and interviews
- Comparative international case studies
- Development of policy options and implementation guidance which incorporate gender equality and social inclusion considerations

The expected duration of the research is four months running from January to April 2026.

3.3 Research/Evaluation Questions

1. What is the current fiscal regime in Kenya with respect to R&D investment, and to what extent does it encourage or discourage private sector participation in research and innovation?
 - a. What fiscal policies and incentives currently exist to support R&D and how do they compare in design, eligibility, and uptake?
 - b. What policy options could incentivize private-sector R&D investment, and what evidence supports their likely impact and feasibility locally?
 - c. Who are the main players?

2. What are the main barriers and gaps within Kenya's existing fiscal policies that limit domestic and foreign investment in R&D, particularly from the private sector? In this regard:
 - a. What structural, regulatory, market, and institutional factors explain persistently low domestic R&D investment?
 - b. What is known about the effectiveness of current instruments in Kenya, including enabling conditions and unintended effects?
3. What alternative fiscal incentive models have been successfully implemented in other countries, and how could these be adapted to the Kenyan context? In this regard:
 - a. What is known about the effectiveness of these instruments in comparable contexts (regionally and globally), including enabling conditions and unintended effects?
4. What are the potential impacts, costs, and administrative considerations of introducing targeted fiscal incentives for R&D in Kenya, and how might these options interact with other elements of the business and innovation environment? In this regard,
 - a. What policy options could incentivize private-sector R&D investment, and what evidence supports their likely impact and feasibility locally?
 - b. What are the expected outcomes, risks, and implementation challenges of proposed instruments?

3.3 Research/Evaluation Methodology

A mixed-methods approach is recommended for this study, combining desk-based policy analysis, stakeholder consultations, comparative case studies, and quantitative and qualitative data analysis. This methodology will enable a comprehensive understanding of Kenya's current fiscal environment for R&D, draw lessons from international best practice, and ensure that proposed policy options are evidence-based, contextually relevant, and supported by key stakeholders.

The suggested methodology could include:

a. Desk review and policy analysis

Conduct a comprehensive review of existing literature, policy documents, and reports on Kenya's existing fiscal landscape and comparable countries. Analyse Kenya's current fiscal regime, including tax policies, investment incentives, and regulatory frameworks relevant to R&D.

b. Stakeholder consultations

Undertake semi-structured interviews and focus group discussions with key stakeholders in Kenya, including government agencies, private sector representatives, academic institutions, and industry bodies to gather insights on barriers, needs, and perceptions regarding R&D investment and fiscal incentives.

c. Comparative case studies

Identify and analyse case studies of countries that have successfully implemented fiscal incentives for R&D, assessing the design, implementation, and outcomes of these models, and extracting lessons relevant to the Kenyan context.

d. Data collection and analysis

Collect and analyse quantitative data on R&D investment trends and fiscal incentive uptake in Kenya.

e. Options appraisal

Develop and assess a range of fiscal incentive options for Kenya, considering potential impacts, costs, administrative feasibility, and alignment with national priorities. Use scenario analysis to estimate the likely effects of different incentive models.

f. Validation and co-design workshops:

Organise workshops with key stakeholders to validate findings, refine recommendations, and ensure local relevance and buy-in.

g. Reporting and dissemination

In addition to the full report, the research team will produce a concise 4-page evidence brief on fiscal incentives for R&D, highlighting best practices and actionable policy recommendations for Government of Kenya, along with a 1-page Executive Summary and an infographic for dissemination.

3.4 Theory of Change

The study is grounded in the theory that targeted fiscal incentives can catalyse private sector investment in R&D, leading to increased innovation, economic diversification, and job creation. By identifying and implementing effective fiscal tools, the Government of Kenya can create a more enabling environment for investment in R&D and innovation, aligned with the National Innovation Masterplan and broader economic transformation goals.

3.5 Required Skills

The research supplier will need to clearly demonstrate the following skills:

- Fiscal policy analysis
- Innovation systems and R&D financing
- Stakeholder engagement and qualitative research
- Comparative policy evaluation

Experience:

- 10 years proven track record in conducting policy research in Kenya or similar contexts
- 10 years' experience of working with Kenya's innovation ecosystem and government structures

- Experience working with development partners and government agencies

Key roles:

The research team is expected to be composed of:

- Lead Researcher/Policy Analyst – responsible for overall study design and delivery
- Innovation Systems Specialist – provides sectoral expertise and contextual analysis
- Stakeholder Engagement Lead – manages interviews, workshops, and validation processes
- Research Assistant(s) – supports data collection, analysis, and reporting

Uptake and dissemination

The supplier will:

- Present findings in an interactive session to KeNIA, FCDO, and stakeholders, ensuring materials are shareable (slides, summary notes).
- Develop and finalize a policy brief and a dissemination plan, detailing channels (digital, print), audiences, and timing.
- Organize and actively participate in a stakeholder validation workshop, incorporating feedback into final outputs and ensuring visibility.
- Produce at least one public-facing knowledge product (e.g., infographic or blog post) for wider dissemination during the project period.
- Contribute to FCDO's internal learning and reporting processes, including a short reflection on dissemination effectiveness.

Deliverables will be used to guide policy dialogue, inform programme development, and support stakeholder engagement across government, academia, and industry.

4. PROJECT MANAGEMENT ARRANGEMENTS

The successful delivery of this study will require close coordination between the Supplier, KeNIA, and FCDO, with clearly defined roles and responsibilities.

Supplier Responsibilities

The Supplier will be responsible for:

- Overall project management and delivery of the research study.
- Designing and executing the research methodology.
- Coordinating stakeholder engagement activities, including interviews and validation workshops.

- Producing all deliverables, including the inception report, draft and final research reports, and policy brief.
- Managing timelines, quality assurance, and reporting progress to KeNIA and FCDO.
- Supporting dissemination activities, including presentations and stakeholder briefings.

The Supplier is expected to establish a clear project plan and communication protocol to ensure timely updates and responsiveness to feedback to KeNIA and FCDO.

KeNIA responsibilities

KeNIA will:

- Act as the lead customer and primary beneficiary of the study.
- Provide contextual guidance and access to relevant data and stakeholders.
- Participate in validation workshops and review deliverables.
- Lead advocacy efforts using the study's findings to engage the National Treasury and Office of the President.

FCDO responsibilities

FCDO will:

- Provide strategic oversight and ensure alignment with broader UK objectives in Kenya.
- Facilitate access to relevant stakeholders and government counterparts.
- Review and provide feedback on key deliverables.
- Support dissemination and uptake of findings through its programme channels and policy dialogue platforms.

Stakeholder interaction and coordination

The supplier will be expected to:

- Maintain regular communication with both KeNIA and FCDO through bi-weekly check-ins or as agreed.
- Coordinate stakeholder interviews and workshops in collaboration with KeNIA.
- Ensure inclusive engagement across government, academia, and private sector actors.
- Document stakeholder feedback and incorporate it into final recommendations.

5. ADMINISTRATIVE ARRANGEMENT

The study would be supported through The Evidence Fund, an FCDO programme intended to support a broad spectrum of FCDO's evidence needs to inform policy and programming decisions. The expected impact of the programme is to help develop evidence-informed policies, programmes and practices which contribute to development outcomes.

In 2023, FCDO appointed PwC and Integrity as Fund Manager (FM) to oversee and manage the Evidence Fund. The Fund Manager's primary responsibility is to manage procurement competitions for research and evaluation projects and conduct due diligence assessments on prospective sub – contracted Research Pool providers, where relevant.

The Foreign, Commonwealth & Development Office (FCDO) is the sole contracting authority for all projects funded through the Evidence Fund. The FCDO holds full responsibility for issuing contracts and managing all contract and project management activities throughout the lifecycle of each project. The Fund Manager's role is limited to pre-contracting activities and does not extend to contract execution or post-award management

6. TIMEFRAME, EXPECTED DELIVERABLES, AND OVERALL BUDGET

The study should be completed in a maximum period of 4 months, starting *January, 2026*.

The budget for the study should not exceed £80,000 excluding UK VAT and including all other relevant Government taxes.

The deliverables and timelines/milestones expected of the Supplier are as follows:

Milestone	Description	Milestone Payments (% of Overall Budget Amount)	Delivery By
1.	Kick-off/inception meeting	0%	Mid January, 2026
1.	Inception report	20%	End of January 2026
2.	Draft research report	40%	Mid-March 2026
3.	Validation workshop	10%	Late March 2026
4.	Final research report and policy brief including dissemination activities	40%	Mid-April 2026

7. QUALITY ASSURANCE MECHANISMS

Please indicate by ticking the appropriate box/s below the level of Peer Review/Quality Assurance required for the project. This includes peer review, data quality assurance, and feedback from the FCDO.

Peer review/Quality Assurance Required	
Peer review/ quality assurance completed in-house by FCDO	Yes
Peer review/ quality assurance arranged by the research provider as part of their contract	Yes
Independent peer review independently carried out, through a contract with the Fund Manager	
Further EqUALS review for all evaluation products	

8. COMPETENCIES

It is expected that the core team delivering this work will have the requisite technical and contextual experience in the collation, interpretation, synthesis, and communication of the research findings and recommendations.

9. SUBMISSIONS

The Supplier is required to submit all outputs in accordance with the expectations and page limits set out in the application template.

10. MANAGEMENT ARRANGEMENTS

The Supplier will design and manage this research study, including drawing together the findings for reporting.

This project will be administered by a FDCO EARIH lead adviser.

The Supplier will quality-assure all outputs before submission to the EARIH lead adviser. The Supplier will be required to comply with FCDO reporting requirements. The Supplier will be responsible for alerting the EARIH lead adviser as early as possible of any emerging issues and risks, to ensure that the project is staying on track.

All deliverables will need to be reviewed and approved by the FCDO technical steering group; however, the Supplier is encouraged to embed their own internal mechanisms for quality assurance.

The Supplier will be required to review and outline how they plan to manage any potential conflicts of interest identified during proposal development.

The Supplier will be required to attend several meetings during all phases of the work, comprising largely of virtual meetings.

11. BIDDING PROCESS

Technical and financial proposals should be sent as two separate files to ke_evidencefundeastafrica@pwc.com by **16 January 2026 (23:59 EAT)**. Since these will be assessed independently of each other, they should, in no case, be combined or cross-referenced.

The instructions for submitting the tender and details on scoring methodology and evaluation criteria are detailed in ITT Volume 1. The application forms for submitting the technical proposal (sent as a clearly titled PDF file) are detailed in ITT Volume 3 and ITT Volume 4 provides the Pro Formas for the commercial proposal.

12. DUTY OF CARE ARRANGEMENTS

The Supplier should set out duty of care arrangements for any country visits or field-based activities.

13. ETHICAL CONSIDERATIONS, DATA PROTECTION, AND SAFEGUARDING

The Supplier Code of Conduct will be included in the terms and conditions of the Contract. New compliance checking mechanisms are now in place to review supplier documentation, their approaches to legal compliance and demonstration of good practice in meeting international principles on labour and ethical employment and to provide assurance that whistleblowing systems are accessible across delivery chains. The FCDO will monitor risk and mitigation plans throughout the project cycle. The commitments made by all organisations in receipt of FCDO funding need to provide spending teams with concrete assurance that the new enhanced safeguarding standards are being applied. The approach will help to promote the adoption of new standards for all organisations in the aid sector.

It is expected that the Supplier will put forward any considerations for ethical approvals required in adherence to the principles outlined in [DFID Ethical Guidance for Research, Evaluation and Monitoring Activities](#) and includes safeguarding guidelines.

14. GENERAL DATA PROTECTION REGULATIONS (GDPR)

Please refer to the details of the GDPR relationship status and personal data (where applicable) for this project as detailed in Section 15: Interpretation, the clause on Data Protection Laws in Volume 6: Pro Forma Contract of the ITT Application Pack.4

15. RISK MANAGEMENT

The Supplier will be expected to set out their understanding of the most important anticipated risks in the proposal, with an explanation of their mitigating strategies in a risk matrix.

16. FCDO RESEARCH GUIDANCE DOCUMENTS

Annex 1: Guidance on Communication and Research Uptake Strategy

Stakeholder Mapping and Research Uptake Strategy	
	<i>Key communications and research uptake considerations</i>
Audience mapping	Which organisations are the main intended audiences for the research? Who are the key decision-makers in the policy area and are they involved and aware of the research (and how are they involved in the research design and intent)? Are there other actors who may use findings or are involved in this policy area? Within FCDO – which teams and departments are involved?
Knowledge requirements of stakeholders	What are the evidence gaps that actors are interested in? Are there key statistics or data that can define the research? What new evidence does the research offer to both strategic planning and informing programming?
Decisions to be influenced	What are the key programming decisions that the research will influence – both for FCDO policy teams and country offices? Will the research support decision-making among other actors? E.g., multilateral, and bilateral donors, non-government organisations, regional governments? What decisions are those?
What are the outputs?	Largely defined by the ToR, but what outputs will be produced? I.e., will there be supporting infographics, summary briefs, or single case studies in order to land the research more effectively/efficiently with particular audiences? How do these map to particular stakeholders?
How will outputs be communicated?	How will various audiences be kept abreast or informed about the research? Will different audiences require different communications? What will be the balance of different dissemination techniques: i.e., seminars, emails, social media, meetings, slide decks, use of the internet or published documentation?
Relevance of research products	The communications plan (and research products) should be iterative and reflect research needs from all stakeholders. Considering responses to the points outlined above, how will the research be designed, produced, and disseminated to meet these needs?
How will research impact be measured?	What methods and indicators can be used to measure or assess how useful the research is? I.e., to what extent has it been used and by which audiences, what are the outcomes of the research, and what impact has it had on policy making and programming?